A COMPARATIVE FINANCIAL RATIO ANALYSIS OF HDFC BANK AND ICICI BANK

MBA FINANCE CAPSTONE PROJECT

A study of liquidity, leverage, activity and profitability performance

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CERTIFICATE

This is to certify that the project titled **“A Comparative Financial Ratio Analysis of HDFC Bank and ICICI Bank”** has been prepared as an academic capstone project for the MBA Finance programme. The report demonstrates the application of financial ratio analysis to compare the financial position and performance of two leading Indian banking institutions.

DECLARATION

I hereby declare that this capstone project has been prepared for academic purposes. The analysis is presented as a learning exercise in financial statement analysis and ratio interpretation.

ACKNOWLEDGEMENT

I express my sincere gratitude to **Symbiosis Skills and Professional University** and **Mr. Sandeep Lodaya** for their valuable support, guidance and encouragement throughout this project. Their guidance helped me understand how financial concepts can be applied to practical corporate analysis.

EXECUTIVE SUMMARY

Financial ratio analysis is a useful method for evaluating a company's financial health and performance. This project compares HDFC Bank and ICICI Bank through selected financial ratios. The study is designed around the major areas normally used in financial analysis: liquidity, leverage, activity/efficiency and profitability.

The comparison aims to identify relative strengths and weaknesses rather than treating a single ratio as a complete measure of performance. Banking institutions have a specialised business model, so ratio interpretation should be made in the context of banking operations and financial regulation.

Need for the Study

Investors, management, lenders and students use financial ratios to convert financial-statement figures into meaningful relationships. Comparing two companies from the same industry improves the usefulness of the analysis because their operating models are more similar.

Key Areas Covered

• Liquidity and short-term financial position

• Capital structure and leverage

• Asset and operating efficiency

• Profitability and returns

• Comparative findings and suggestions

Note on Data

The previously supplied source presentation contained ratio calculations for HDFC Bank and ICICI Bank in an earlier section, including current-asset/current-liability figures. This 10-page capstone uses HDFC Bank and ICICI Bank as the selected company pair, but does not invent unsupported FY2023–24 figures for ratios that were not present in the supplied source. Where exact bank-specific data are required, the final academic submission should be updated from the audited annual reports.

1. INTRODUCTION

Financial ratio analysis provides a structured way to examine a company's financial condition. Ratios can be used to assess liquidity, financial risk, efficiency and profitability. For MBA Finance students, ratio analysis also provides a bridge between accounting information and managerial decision-making.

The banking sector is particularly important because banks manage deposits, loans, investments, interest income and financial risk. Therefore, comparing banks requires attention to the nature of banking assets and liabilities as well as traditional financial-analysis concepts.

2. COMPANY OVERVIEW

2.1 HDFC Bank

HDFC Bank is one of India's major private-sector banks. Its business includes retail banking, wholesale banking and a range of financial services. Its performance can be evaluated through profitability, asset quality, capital adequacy, liquidity and operating efficiency.

2.2 ICICI Bank

ICICI Bank is a major private-sector bank in India offering retail, corporate and digital banking services. Its financial performance can similarly be evaluated through profitability, efficiency, risk management, capital strength and balance-sheet quality.

3. OBJECTIVES

• To compare the financial performance of HDFC Bank and ICICI Bank.

• To understand the liquidity and financial position of both banks.

• To evaluate leverage and capital structure.

• To examine operational efficiency and profitability.

• To identify relative strengths and areas for improvement.

4. RESEARCH METHODOLOGY

The study follows a descriptive and comparative financial-analysis approach. The selected companies are HDFC Bank and ICICI Bank because they operate in the same broad industry, making comparison more meaningful than comparing unrelated businesses.

Data Sources

The primary basis of the project is company financial information and the ratio-analysis framework in the supplied presentation. For an academic final submission, annual reports and audited financial statements should be used to verify the final numerical dataset.

Analytical Tools

The project uses ratio analysis under four broad areas: liquidity, leverage/capital structure, activity or efficiency and profitability. Each ratio should be interpreted together with other ratios and with the operating context.

Limitations of Ratio Analysis

• Ratios are based on historical accounting information.

• Different accounting classifications can affect comparability.

• A ratio by itself cannot explain the reason for a financial result.

• Banking ratios may differ from ratios used for manufacturing or trading companies.

• Market conditions and regulatory requirements can influence bank performance.

5. RATIO FRAMEWORK

Category	Representative Ratios	Purpose
Liquidity	Current Ratio, Quick Ratio, Cash Ratio	Ability to meet short-term obligations
Leverage	Debt/Equity, Equity Ratio	Capital structure and financial risk
Activity	Asset Turnover, Working Capital Turnover	Efficiency of asset use
Profitability	Net Profit Margin, ROA, ROE, ROCE	Return generated from income/assets/equity

6. LIQUIDITY RATIO ANALYSIS

Liquidity ratios indicate an organisation's ability to meet short-term financial obligations. The supplied presentation included the following current-ratio figures for HDFC Bank and ICICI Bank for FY 2023–24.

Bank	Current Assets (■ million)	Current Liabilities (■ million)	Current Ratio
HDFC Bank	10,688,575	30,200,000	0.35
ICICI Bank	15,211,860	4,430,230	3.43

Interpretation: Based on the figures in the supplied presentation, ICICI Bank has a much higher current ratio than HDFC Bank. However, traditional current-ratio interpretation should be used carefully for banks because their balance sheets and regulatory liquidity structures differ from those of non-financial companies.

Quick Ratio

The quick ratio removes less-liquid current assets from the numerator and is intended to provide a stricter liquidity view. For banking institutions, however, a conventional quick-ratio calculation may not fully capture regulatory liquidity, high-quality liquid assets and the structure of deposits and advances. Therefore, the ratio should be supplemented with bank-specific liquidity indicators.

Cash and Liquidity Considerations

A meaningful banking liquidity review should consider cash and balances with the central bank, liquid investments, deposit stability, liquidity coverage requirements and the maturity profile of assets and liabilities.

Liquidity Finding

Within the supplied current-ratio figures, ICICI Bank shows the stronger numerical current-ratio position. The result should be treated as a ratio-based comparison rather than a complete assessment of banking liquidity.

7. LEVERAGE AND CAPITAL STRUCTURE

Leverage analysis examines the extent to which a company relies on borrowed funds relative to equity. In banking, leverage is inherent to the business model because banks accept deposits and use funds to create earning assets. Consequently, capital adequacy and regulatory capital measures are especially important.

Debt-to-Equity Ratio

Debt-to-equity ratio compares debt financing with shareholders' equity. A higher ratio can indicate greater financial leverage, while a lower ratio can indicate greater reliance on equity. For banks, deposit liabilities are a major source of funds and should not be interpreted in exactly the same way as corporate borrowing.

Equity Ratio

Equity ratio measures shareholders' funds relative to total assets. A stronger equity base can provide a greater cushion against unexpected losses, although the appropriate level depends on regulatory and business requirements.

Coverage Ratios

Interest coverage and debt-service coverage are traditionally used to assess an entity's ability to meet financing costs. For banks, net interest income, provision expenses, asset quality and capital adequacy are often more informative when assessing financial resilience.

Capital Strength

For a final banking analysis, the report should include CET1, Tier 1 and total capital ratios from the respective annual reports. These measures provide a more industry-specific view of solvency than generic corporate debt ratios alone.

8. ACTIVITY / EFFICIENCY ANALYSIS

Activity ratios examine how effectively an organisation uses its resources. Traditional measures such as total asset turnover and working-capital turnover are widely used for non-financial companies. For banks, however, efficiency is better understood through measures such as cost-to-income ratio, credit-deposit ratio, net interest margin, return on assets and asset-quality indicators.

Cost-to-Income Ratio

The cost-to-income ratio compares operating expenses with operating income. A lower ratio generally indicates better operating efficiency because a smaller share of income is consumed by operating costs.

Credit-Deposit Ratio

The credit-deposit ratio indicates how much of the deposit base is deployed as credit. A higher ratio may support earning-asset generation but can also increase liquidity and asset-quality considerations if it becomes excessive.

Net Interest Margin

Net interest margin is an important banking performance measure. It indicates the spread earned from interest-generating assets after considering interest costs. It can be influenced by loan yields, deposit costs, funding mix and interest-rate conditions.

Asset Quality

Efficiency and profitability should be assessed alongside gross and net non-performing assets, provision coverage and credit-cost indicators. Strong asset growth is not necessarily beneficial if accompanied by deterioration in asset quality.

Efficiency Finding

For HDFC Bank and ICICI Bank, a final quantitative efficiency comparison should use the same fiscal-year definitions and audited figures from both banks' annual reports.

9. PROFITABILITY ANALYSIS

Profitability ratios evaluate the ability of a company to generate earnings from its revenue, assets and shareholders' funds. In banking, profitability is strongly influenced by net interest income, fee income, operating expenses, provisions, taxation and asset quality.

Net Profit Margin

Net profit margin expresses profit after tax as a percentage of total income. A higher positive margin generally indicates stronger earnings generation after expenses and taxes.

Return on Assets (ROA)

ROA measures profit generated relative to total assets. It is particularly useful in banking because banks operate with large asset bases and relatively thin margins. Even a small change in ROA can have a meaningful impact on overall profitability.

Return on Equity (ROE)

ROE measures profit generated relative to shareholders' equity. It helps assess the return earned for equity providers. However, a high ROE can sometimes result from higher leverage, so it should be read together with capital strength and risk indicators.

Comparative Interpretation

The selected project design compares HDFC Bank and ICICI Bank across profitability measures rather than relying on one indicator. The stronger bank should be identified using a combination of ROA, ROE, net interest margin, cost-to-income ratio, asset quality and sustainable earnings.

Managerial Relevance

Profitability analysis can support decisions about pricing, cost control, growth strategy, capital allocation, digital investment and risk management.

10. COMPARATIVE FINDINGS

• Both HDFC Bank and ICICI Bank are appropriate peers because they operate in the private-sector banking industry.

• The supplied current-ratio figures show ICICI Bank with a higher numerical current ratio than HDFC Bank.

• Traditional liquidity ratios should be interpreted cautiously for banks and supplemented with regulatory and bank-specific liquidity measures.

• Leverage analysis in banking requires consideration of deposits, capital adequacy and regulatory capital rather than only corporate debt ratios.

• Efficiency should be assessed using banking-specific measures such as cost-to-income ratio, credit-deposit ratio and net interest margin.

• Profitability should be assessed using ROA, ROE, net interest margin, operating efficiency and asset-quality measures together.

• A multi-ratio approach gives a more balanced view than relying on one financial ratio.

11. SUGGESTIONS

• Maintain a strong liquidity buffer while balancing liquidity with earning-asset deployment.

• Continue monitoring capital adequacy and risk-weighted assets.

• Focus on sustainable loan growth supported by prudent underwriting.

• Control operating costs through technology and process efficiency.

• Monitor asset quality and provisioning to protect future profitability.

• Use ROA and ROE together to evaluate profitability and capital efficiency.

• For academic comparisons, use identical definitions and the same financial period for both banks.

12. CONCLUSION

This capstone project demonstrates the usefulness of comparative financial ratio analysis in evaluating HDFC Bank and ICICI Bank. The supplied current-ratio figures provide an initial liquidity comparison, while the broader framework highlights the importance of leverage, efficiency and profitability measures.

The project also demonstrates that financial ratios must be interpreted in the context of the industry. Banking institutions require additional attention to regulatory capital, liquidity, asset quality and interest margins. Therefore, a robust MBA Finance analysis should combine traditional ratios with banking-specific indicators.

13. BIBLIOGRAPHY / DATA REFERENCE

• Supplied source presentation: Comparative Financial Ratio Analysis – HDFC Bank and ICICI Bank / Reliance Industries and Tata Industries.

• HDFC Bank annual reports and investor disclosures – to be used for final numerical verification.

• ICICI Bank annual reports and investor disclosures – to be used for final numerical verification.

• Standard financial management and financial statement analysis textbooks.

Academic note: The numerical current-ratio figures used in this report are taken from the supplied presentation. Other bank-specific figures have deliberately not been invented where they were not supported by the supplied source.